

**FORM TP 2012028****TEST CODE 01240020****JANUARY 2012****CARIBBEAN EXAMINATIONS COUNCIL****SECONDARY EDUCATION CERTIFICATE  
EXAMINATION****PRINCIPLES OF BUSINESS****Paper 02 – General Proficiency*****2 hours*****05 JANUARY 2012 (a.m.)****READ THE FOLLOWING INSTRUCTIONS CAREFULLY.**

1. Answer ALL the questions in Section I and TWO questions from Section II.
2. Begin EACH answer on a separate page.
3. Keep ALL parts of EACH answer together.
4. EACH question is worth 20 marks

**DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO**

## SECTION I

**Answer the THREE questions in this section.**

1. (a) (i) Outline TWO functions of a business. ( 4 marks)
- (ii) State TWO ways in which a 'sole proprietorship' is different from a 'partnership'. ( 4 marks)
- (b) (i) Define the term 'franchise'. ( 2 marks)
- (ii) Identify FOUR popular franchises. ( 4 marks)
- (c) Discuss TWO advantages of operating a franchise. ( 6 marks)

**Total 20 marks**

2. Mr Jones bought five hours of scuba instructions from Sun and Sand Resort using the Internet. Mr Jones paid by credit card, and Sun and Sand Resort confirmed receipt of payment by e-mail.

- (a) (i) State FOUR reasons for documenting business transactions. ( 4 marks)
- (ii) Identify THREE instruments of payment, other than a credit card. ( 3 marks)
- (b) (i) Define the term 'contract'. ( 2 marks)
- (ii) Identify the type of contract entered into by Sun and Sand Resort, and Mr Jones. ( 1 mark)
- (iii) State FOUR ways in which the contract between Sun and Sand Resort, and Mr Jones may be terminated. ( 4 marks)
- (c) With reference to the relationship between Mr Jones, and Sun and Sand Resort outlined above, explain the following legal concepts:
- (i) Offer and acceptance ( 4 marks)
- (ii) Consideration ( 2 marks)

**Total 20 marks**

3. Sally Brown has the potential to be a very good entrepreneur. She is making arrangements to start a business using local resources.

- (a) Define the term 'resources'. ( 2 marks)
- (b)
  - (i) Identify TWO types of resources that are important to Sally Brown in starting her business. ( 2 marks)
  - (ii) Explain the importance of EACH resource to the business. ( 4 marks)
- (c) Outline THREE factors that Sally should consider when choosing a location for her business. ( 6 marks)
- (d) Discuss TWO ways in which the country may benefit from the opening of Sally's new business. ( 6 marks)

**Total 20 marks**

## **SECTION II**

**Answer EITHER Question 4 OR Question 5. Do NOT answer both.**

4.
  - (a)
    - (i) Explain the term 'customer satisfaction'. ( 2 marks)
    - (ii) State TWO ways in which a firm can ensure customer satisfaction. ( 2 marks)
  - (b) Outline THREE responsibilities of management to customers. ( 6 marks)
  - (c) Explain the role of EACH of the following organizations in consumer protection:
    - (i) Bureau of Standards ( 2 marks)
    - (ii) Consumer Affairs Commission ( 2 marks)
  - (d) Discuss TWO factors that influence consumer behaviour. ( 6 marks)

**Total 20 marks**

5. (a) A Central Bank can 'close down' the operations of commercial banks for a number of reasons.
- (i) Outline TWO reasons why a Central Bank may decide to 'close down' a commercial bank. ( 4 marks)
- (ii) Explain THREE actions that a commercial bank could take in order to prevent closure by a Central Bank. ( 6 marks)
- (b) Identify FOUR sources, other than commercial banks, from which firms can acquire financing. ( 4 marks)
- (c) Discuss TWO ways in which the stock market performs its role effectively. ( 6 marks)

**Total 20 marks**

### SECTION III

**Answer EITHER Question 6 OR Question 7. Do NOT answer both.**

6. (a) Explain the terms 'direct taxes' and 'indirect taxes', giving ONE example of EACH type of tax. ( 6 marks)
- (b) State TWO purposes of taxation. ( 2 marks)
- (c) In a recent budget presentation, a Minister of Finance announced a decision to increase taxes on alcohol and tobacco. A leading financial commentator condemned this measure, claiming that such taxes are regressive.
- (i) Distinguish between 'regressive taxation' and 'progressive taxation'. ( 4 marks)
- (ii) Outline the MAIN reason in favour of a progressive tax system. ( 2 marks)
- (iii) Discuss TWO reasons why government may impose taxes on alcohol and tobacco. ( 6 marks)

**Total 20 marks**

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7. (a) State TWO reasons why countries trade with each other. ( 2 marks)
- (b) Define EACH of the following terms:
- (i) Specialization
  - (ii) Balance of trade
  - (iii) Globalization ( 6 marks)
- (c) State TWO features of EACH of the following institutions:
- (i) Organization of Eastern Caribbean States (OECS)
  - (ii) Caribbean Community (CARICOM)
  - (iii) World Trade Organization (WTO) ( 6 marks)
- (d) Discuss TWO challenges faced by Caribbean economies in creating a single market and economy. ( 6 marks)

**Total 20 marks**

**END OF TEST**

**IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.**